Choosing a Chain

A reusable decision tool for selecting a blockchain on evidence, for any stated use case.

Settlement Layer

Where transactions are finalised and recorded.

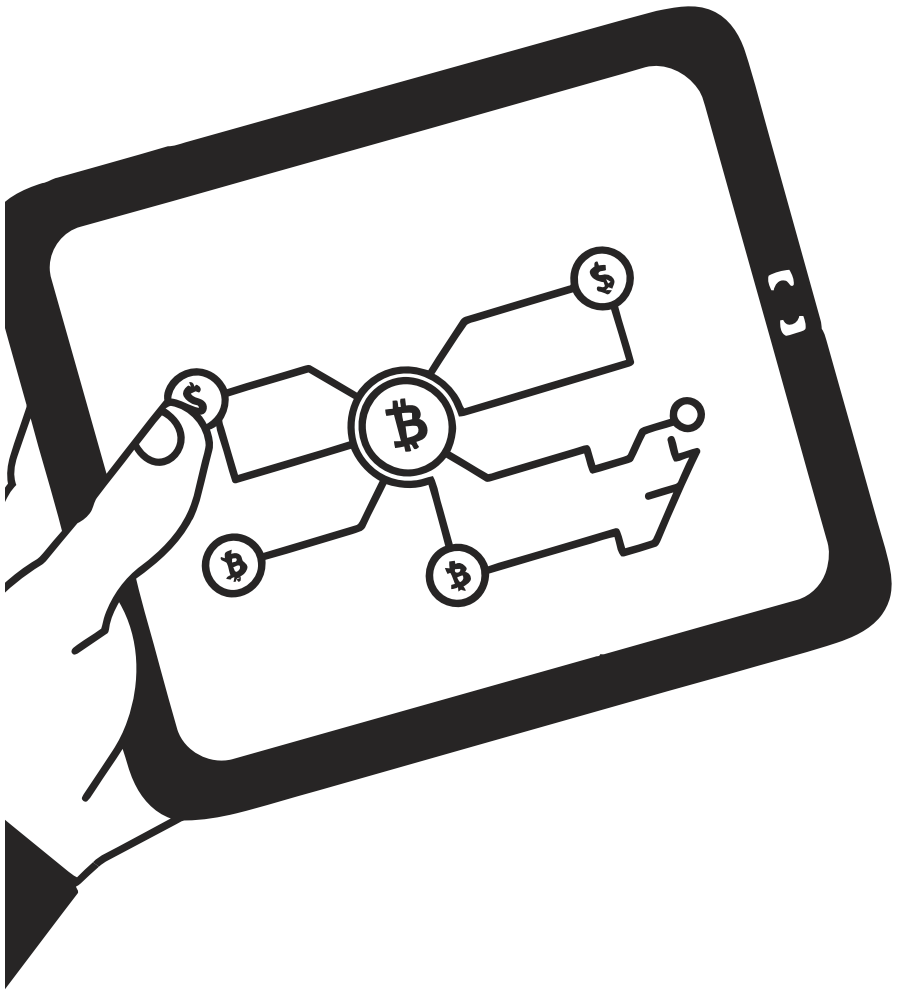
Asset Layer

The tokens and instruments that move on-chain.

Application Layer

The logic and contracts built on top.

Schar locates value across all three layers - understanding each is the starting point for any chain selection decision.



Five Criteria for Choosing a Chain

Throughput

How many transactions per second can the chain process? Speed determines operational viability.

Finality

When does a transaction become irreversible? Settlement certainty matters for financial workflows.

Governance

Who controls protocol upgrades? Centralised or decentralised - this shapes long-term risk.

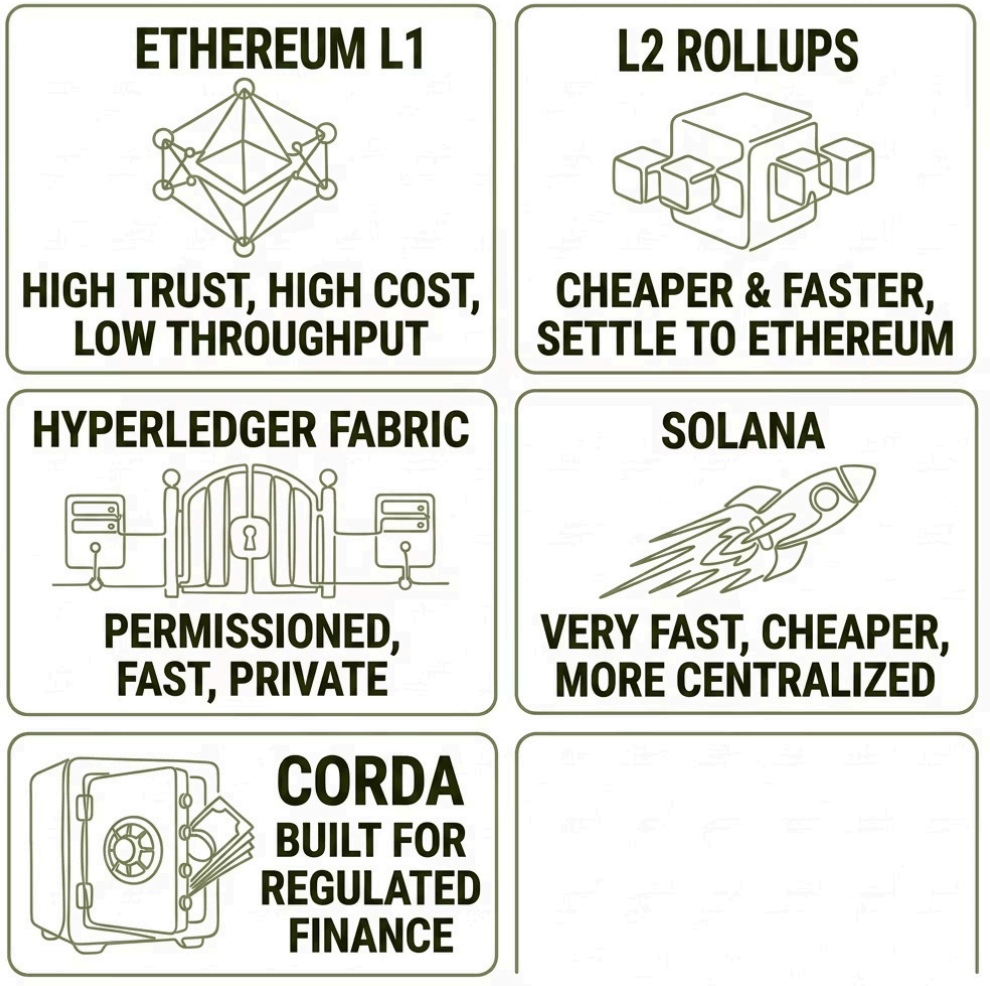
Cost

What are the transaction fees? Costs affect economic feasibility at scale.

Regulatory Profile

How do supervisors view this chain? For a bank use case, this criterion is often the deciding factor.

A Rough Picture of the Main Chains



Ethereum L1

High trust. Lower throughput. Higher cost.

L2 Rollups

Cheaper and faster. Settle back to Ethereum.

Hyperledger Fabric

Permissioned. Fast. Private.

Solana

Very fast. Cheaper. More centralised.

Corda

Built specifically for regulated finance.



Worked Example: SME Trade-Finance Escrow

A Bahraini SME trade-finance escrow between known banks - how does the framework apply?

The Use Case

- Parties are known to each other
- Regulated banking environment
- Privacy is required
- Speed matters operationally

The Decision: Hyperledger Fabric

- Permissioned - known parties only
- Fast and private by design
- Fits a regulated setting

A public chain would score worse on governance and regulatory profile - even if it were cheaper.